ALPINE
DUE DILIGENCE INC.

ODD Report

Aurora Ventures IV, L.P.

Early-Stage Venture Capital | Delaware LP | Full Review

April 2026

Review Type: Full Review

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Overview

Manager Overview

Aurora Capital Management, LLC ("Aurora", the "Manager") reported assets under management ("AUM") of $981.54 million (excluding $215.59 million in uncalled capital commitments) as of December 31, 2025. Alpine defines AUM as net asset value ("NAV") excluding uncommitted capital. The firm operates a venture capital strategy across several closed-ended fund vehicles. Aurora has nine full-time employees and operates on a fully remote basis with no physical office space.

Fund Overview

Aurora Ventures IV, L.P. (the "Fund") is a Delaware limited partnership formed on June 26, 2025 and commenced operations on March 6, 2026. The Fund invests in Seed to Series B financing rounds of technology and technology-related companies under a closed-ended structure. The Fund held its initial closing on August 31, 2025 and is targeting $300 million in total capital commitments. As at the date of this review, the Fund had raised $135 million in capital commitments and is expected to hold a final closing by the end of 2026.

Controls Overview

Meridian Fund Services, LLC ("Meridian", the "Administrator") has been engaged to provide administration services to the Fund. The Fund's expected auditor is Grant Baker LLP ("Grant Baker"). The Fund maintains a main banking relationship with Pacific Tech Bank ("PTB") and a backup bank account with Continental Commercial Bank ("CCB").

Internal to the firm, the Manager uses RelayFlow for deal management and portfolio tracking.

As a closed-ended fund, valuations will be produced on a quarterly basis for indicative purposes, with no capital transactions subsequent to the initial commitment period. The General Partner receives carried interest only upon a realization event.

Strengths

- Meridian Fund Services, LLC ("Meridian", the "Administrator") has been engaged to provide administration services to the Fund.
- Adequate cash controls with dual approval and release over Fund wire activity.
- Established venture track record through both Aurora Ventures and predecessor firm Horizon Ventures, with prior-vintage investments including public listings in AI, commerce, and fintech.

Risks

- Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner) maintain significant external business interests. Alpine notes the potential for headline risk given their roles as public figures.
- Ongoing inquiry related to Daniel Brenner and two portfolio companies, Mythic Studios, Inc. ("Mythic") and LunarPay, Inc. ("LunarPay").
- Administrator servicing is limited: Meridian does not provide oversight over valuation and asset existence.
- Valuation controls could be improved: the valuation committee is not comprised of a majority of non-investment professionals and no third-party valuation agent has been appointed.
- Expert network controls could be improved.
- The Manager is not registered with any regulatory body and thus is not subject to the same regulatory requirements as registered investment advisers.
- A single signature is required to open a bank account in the name of the Fund.

Assessment

OVERALL RATING: GREEN

Aurora Capital Management, LLC ("Aurora", the "Manager") serves as Manager and was founded in 2017 by Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner). Aurora operates as a fully remote company with no physical office space and employees based predominantly in Los Angeles, California. The Manager stated that the firm had previously operated a dedicated office in Los Angeles but transitioned to a fully remote working model in the aftermath of the COVID-19 pandemic. The team currently meets twice per week in person for investment committee discussions at either Marcus Reeves' or Daniel Brenner's personal residences. While this working arrangement does not raise a material concern on its own, Alpine encourages investors to remain attentive to organizational dynamics that may emerge from the current structure. The Manager indicated that it is in the process of identifying a dedicated physical office space and that it expects staff to be assigned to the new location on a hybrid schedule of one-to-three days per week of in-office attendance. A timeline was not provided at the time of this review and Alpine encourages investors to monitor developments in this area.

Prior to forming Aurora, Marcus Reeves and Daniel Brenner pursued angel investments sourced from their broader network of relationships across the entertainment and media industries. In 2012, the two formalized their investment activities with the launch of their first venture capital vehicle, Horizon Ventures, LLC ("Horizon"), alongside co-investor Richard Kaplan, the founder and managing partner of Kensington Companies. Horizon raised a single pooled product to invest in direct-to-consumer companies and mobile applications in the technology industry, with early investments including Nestaway, Metro Rideshare, Pinboard, Lingolab, Swapmarket, Gridstack, and a number of other growth-stage companies that subsequently listed on public markets. As a point of interest, the Manager confirmed that its firmwide AUM reporting includes Horizon's AUM ($120.56 million as of December 31, 2025), despite Horizon and Aurora operating as separate legal entities. Horizon continues to hold certain legacy investments but has not deployed into new investments since 2016. The Manager confirmed that Marcus and Daniel do not dedicate a significant amount of time to Horizon's portfolio.

A recurring theme throughout this report is that Marcus Reeves and Daniel Brenner maintain significant business interests outside their respective investment responsibilities at the firm. Marcus Reeves is a prominent actor and film producer active in the Hollywood community, while Daniel Brenner is a talent manager representing several internationally recognized entertainers. Alpine notes, however, that Aurora represented that beyond periodic taping engagements every two-to-three years for Marcus, and despite Daniel frequently attending touring obligations alongside the artists he represents, Marcus and Daniel are fully dedicated to Aurora's operations on a day-to-day basis, including while performing their external duties. The Manager indicated that no external interests are expected to require more than 20% of their time. Alpine nonetheless highlights that Marcus and Daniel are subject to a higher level of publicity, and therefore media scrutiny, than Alpine would traditionally expect for principals of an investment management firm. In the case of Marcus, this dynamic is compounded by his spouse Lena Torres, also a prominent actress. Negative press relating to Marcus or Daniel, whether with respect to these individuals' activities with Aurora or otherwise, may result in potential headline or reputational damage to the firm. Investors are encouraged to closely monitor media developments regarding Marcus and Daniel.

While Alpine acknowledges that Marcus Reeves and Daniel Brenner's prior work experience and formal education lie outside the asset management industry (beyond their investment experience with Aurora and Horizon), Alpine notes that Aurora has recruited experienced individuals to staff the remainder of the team, as discussed elsewhere in this report.

Alpine highlights that Daniel Brenner (Co-Founder / General Partner) is currently the subject of what Aurora has indicated is an "inquiry" related to a class action lawsuit filed against two portfolio companies of the Chain Fund, Mythic Studios, Inc. ("Mythic") and LunarPay, Inc. ("LunarPay"), and Mythic's offering of Crystal Tiger Society non-fungible tokens ("NFTs"). In December 2024, Montgomery & Reed LLP filed a class action lawsuit in the U.S. District Court for the Central District of California alleging coordinated promotion of a suite of digital assets by Mythic's executives together with Daniel and affiliated parties. The defendants in the suit relevant to Aurora are Daniel Brenner, Mythic Studios, LunarPay, and former Aurora employee Priya Desai (former Principal). Several high-profile entertainers and athletes who received Mythic-related offerings through Daniel's network are also listed as defendants. On a related note, it was widely reported in October 2024 that the U.S. Securities and Exchange Commission ("SEC") is investigating Mythic concerning the offering of Crystal Tiger Society NFTs and TigerCoin (Mythic's native cryptocurrency token), and whether these offerings represented unregistered securities offerings. The Manager indicated that this case is not expected to result in material harm to Aurora, nor is it taking away from Daniel's time as General Partner of the firm. As the case remains ongoing, Aurora noted that it was "not aware" of any potential fines or penalties that may be payable by the firm.

As a general observation, it is not uncommon for asset managers investing in private markets to be subject to business litigation of various kinds. Given the legal ambiguity surrounding cryptocurrency and blockchain technology at the time of the relevant offerings, it is conceivable that by investing in opportunities within these sectors (or related sectors), Aurora may be exposing itself to additional regulatory and legal risk. Given the Manager's representations of the situation as described above, it appears unlikely that this ongoing legal claim will be materially harmful to the broader organization's financial position. Nonetheless, legal and reputational developments arising from this claim should be monitored.

Meridian Fund Services, LLC ("Meridian", the "Administrator") has been engaged to provide administration services to the Fund. Overall, Meridian's servicing is expected to be relatively limited in scope, as Meridian does not provide oversight over asset existence and valuation.

With respect to asset existence, the Administrator confirmed that it expects to receive legal closing documentation directly from Aurora, rather than from an independent third party. As such, the Administrator is not expected to independently confirm the existence of portfolio assets as part of the affirmation process at the inception of each transaction. Alpine would prefer to see the Administrator receive closing documentation from a third party (e.g. the legal counsel that drafts the transaction documentation). In partial mitigation, the Fund's auditor will test the entire portfolio at year-end for existence by matching legal agreements to an independent confirmation of position by the underlying company.

With respect to valuation, Aurora typically prices its portfolio companies to the most recent round of financing. On a quarterly basis, Aurora will evaluate each investment to determine whether an adjustment to the valuation is necessary. Alpine notes that Kevin Park (Vice President, Finance and Operations) is responsible for creating the valuation models for these portfolio positions, with the investment team supplying the inputs for Kevin's review and use. However, given the allocation to Level 3 assets, it is notable that the Administrator will not provide external oversight of the valuation of the portfolio and will accept Aurora's pricing at each quarter-end without conducting any verification procedures. Additionally, Aurora is not expected to appoint an external valuation agent. As such, all valuations are prepared internally, subject only to external oversight from the Fund auditor. Alpine nonetheless strongly supports the appointment of an external valuation agent, as such an appointment provides superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy. Alpine notes that the closed-ended structure of the Fund reduces the risk of deliberate portfolio mispricing.

In terms of compliance, Alpine highlights that the firm could usefully enhance controls surrounding expert networks by (i) creating a formal expert network policy; (ii) pre-clearance being required for each expert network consultation by compliance (currently administered by Kevin Park in his capacity as Vice President, Finance and Operations); (iii) a blackout period implemented with respect to consultations with experts employed by public companies; (iv) Aurora employees being required to read a formal script at the onset of an expert network call; and (v) compliance anonymously chaperoning expert network consultations. Alpine does recognize, however, that expert network controls for venture capital managers are often less robust than those for hedge fund managers given the lack of investment in publicly traded securities. To that point, the Manager represented that expert network discussions are focused on sector-specific information and research rather than specific companies, limiting the risk of transmission of material non-public information ("MNPI").

Alpine notes that the firm is not subject to any regulatory oversight. To this point, Aurora is currently exempt from registration with the SEC pursuant to the Investment Advisers Act of 1940. As a venture capital manager, Aurora is nonetheless required to file responses to certain limited portions of Part 1 of Form ADV that are applicable to registered investment advisers but under the status as an Exempt Reporting Adviser ("ERA").

Separately, Alpine notes that Kevin Park serves as the Manager's Vice President of Finance and Operations and the sole member of Aurora's back office, as well as is in charge of compliance. Although Kevin is responsible for overseeing the entire back office function on his own, Alpine agrees that operational and accounting demands are not unduly complex at present. Nonetheless, Alpine highlights that the firm's limited resources may result in an inevitable degree of segregation of duties issues. To this point, Alpine notes that members of the front office may have to cover for Kevin should he be out of the office or on vacation. Aurora confirmed that Elena Ruiz (Operating Partner) covers for Kevin's back office responsibilities in the event that he is out of the office. Additionally, if Elena is also out of the office at the same time as Kevin, Rebecca Stern (General Partner) will cover for Kevin. Investors should monitor the growth in operational staff as assets under management accumulate.

As a point of interest, the Fund's expected auditor, Grant Baker LLP ("Grant Baker"), has not been formally engaged at the date of this review. On a related note, investors should monitor the level of operating expenses and other non-investment-related fees charged through the Fund when audited accounts are available.

Alpine's diligence review identified that Aurora has implemented adequate controls over asset transfers, with all wires controlled by the firm under a dual signature policy, incorporating the Administrator into the treasury cycle. However, Alpine notes that the Administrator does not control the account utilized to process investor capital activity and pay operating expenses. Alpine would prefer to see these transfers under Administrator rather than Manager control to reduce the risk of inappropriate cash movements. Furthermore, a single signature is required to open a new bank account in the name of the Fund. However, Alpine acknowledges that two individuals are involved in the account opening process in practice.

As a point of interest, Alpine notes that the Fund's Amended and Restated Limited Partnership Agreement (the "LPA"), dated August 31, 2025, outlines that the General Partners (i.e., Marcus Reeves, Daniel Brenner, and Rebecca Stern) may "found, organize or promote new companies that are anticipated to become Portfolio Companies." Alpine highlights the potential conflicts of interest in this area. Aurora confirmed that this provision is included in the Fund's LPA for flexibility. Additionally, this has not occurred previously and is not expected to occur in practice.

Alpine's review identified that Aurora has implemented baseline IT and cybersecurity controls. Alpine highlights, however, that Aurora has not implemented an endpoint data loss prevention solution and does not perform penetration testing given the firm's cloud-based IT infrastructure. Separately, going forward, the firm indicated that it expects to implement phishing tests; investors are encouraged to monitor developments in this area.

Alpine notes that the Fund may invest up to 10% of capital commitments in digital assets per the Fund's LPA. Alpine highlights that investments in such assets are subject to various specialized risks, including technological, security, regulatory, and transferability (among others). Investors should monitor the Fund's potential exposure to digital assets going forward, including operational controls around those assets. The Manager confirmed, however, that the Fund is not expected to hold digital assets in practice, and that this provision is included in the LPA for flexibility.

Overall, Aurora maintains adequate resources, systems, policies, and procedures designed to provide reasonable assurance to limit operational risk, supporting a Green overall assessment. Aurora could usefully enhance certain aspects of its compliance environment, most notably by adopting more substantive expert network controls. Separately, Aurora could appoint a valuation agent for the Fund. Furthermore, investors are encouraged to monitor developments with respect to the outstanding inquiry of Daniel Brenner, Mythic, and LunarPay. As a final comment, investors should be comfortable with Marcus Reeves and Daniel Brenner's external business interests prior to allocating.

Scope & Verification

Scope of Review

Alpine's review included conference calls with Aurora management and with Meridian Fund Services (the Fund's Administrator), a review of the Fund's Limited Partnership Agreement and related offering documents, the Manager's compliance manual and valuation policy, Aurora Ventures III's audited financial statements, and independent checks against public registers and regulatory databases.

Independent Verification Performed

Verification	Result	Evidence Basis
Management Company and Affiliates	Confirmed	Alpine direct check, California Secretary of State Registry
Management Company Corporate Form	Consistent	Cross-referenced Form ADV dated March 26, 2026
Ownership Structure	Consistent	Form ADV Schedules A & B confirm Marcus Reeves and Daniel Brenner each hold 25-50%, Rebecca Stern holds 10-25%
SEC Status (Exempt Reporting Adviser)	Confirmed	Alpine direct check, IARD register; ERA since November 30, 2018
SEC Disciplinary History	No actions	Reviewed Form ADV Section 11 and DRP pages (filing dated March 26, 2026)
Compliance Consultant	Confirmed	Apex Compliance Advisors confirmed engagement by email, April 15, 2026
Technology / Cybersecurity Consultant	Confirmed	Vantage Tech Partners confirmed engagement by email, April 11, 2026
Fund Registration (Delaware)	Confirmed	Alpine direct check, Delaware Division of Corporations
General Partner Registration	Confirmed	Alpine direct check, Delaware Division of Corporations (Aurora Ventures GP IV, LLC)
Assets Under Management	Confirmed	Meridian confirmed the Fund had no assets and had yet to commence operations as at December 31, 2025
Administrator Engagement	Confirmed	Meridian confirmed engagement as Administrator via email, April 9, 2026

Verification	Result	Evidence Basis
Auditor Engagement	Confirmed (expected)	Meridian confirmed Grant Baker expected as auditor
Credit Facility (Pacific Tech Bank)	Confirmed	PTB confirmed credit facility provision via email, April 12, 2026
Prime Brokers, Custodians, Counterparties	Confirmed (indirect)	Meridian confirmed listed counterparties expected to serve the Fund
Asset Verification	Exception noted	Administrator does not confirm existence of the Fund's assets and liabilities in the Fund's quarterly NAV; existence is independently confirmed only as part of the annual audit process
Corporate Banker	Confirmed	Meridian confirmed PTB and CCB as corporate bankers, April 9, 2026

Alpine Ratings

Chapter	Rating
Manager, Ownership & Governance	YELLOW
Legal, Regulatory & Compliance	YELLOW
Technology, Cybersecurity & Business Resilience	GREEN
Fund Structure, Terms & Investor Alignment	GREEN
Service Providers, Delegation & Oversight	GREEN
Investment Operations & Portfolio Controls	GREEN
Valuation, Asset Existence & Investor Reporting	GREEN
Manager Transparency & LP Communications	GREEN

Alpine Flags

#	Flag	Section
1	Insider capital does not represent over 50% of the liquid net worth of the Principal(s).	Manager, Ownership & Governance
2	Principals make co-investments alongside the Fund's main portfolio.	Manager, Ownership & Governance
3	No formal succession plan.	Manager, Ownership & Governance
4	No key person life insurance.	Manager, Ownership & Governance
5	No mandatory deferred compensation scheme.	Manager, Ownership & Governance
6	Limited internal resources: single back office / operations professional.	Manager, Ownership & Governance
7	Headcount of fewer than 10.	Manager, Ownership & Governance
8	Manager is not subject to regulatory oversight.	Legal, Regulatory & Compliance
9	Manager does not have a dedicated Chief Compliance Officer.	Legal, Regulatory & Compliance
10	Manager, affiliate or employee has been subject of civil or criminal litigation in the past ten years.	Legal, Regulatory & Compliance
11	Personal trading in reportable securities is not subject to pre-clearance from compliance.	Legal, Regulatory & Compliance
12	Employees can trade in securities held in client accounts.	Legal, Regulatory & Compliance
13	Personal trades are not subject to a minimum holding period.	Legal, Regulatory & Compliance
14	Employee brokerage statements are not received directly by the compliance department.	Legal, Regulatory & Compliance
15	The firm utilizes expert networks.	Legal, Regulatory & Compliance
16	The firm does not have a written policy covering the use of expert networks (or other third-party research consultants).	Legal, Regulatory & Compliance
17	Expert network calls are not pre-approved by the compliance department.	Legal, Regulatory & Compliance
18	No blackout period with respect to consultation with experts previously employed by a public company.	Legal, Regulatory & Compliance
19	Employees are not required to read a script related to the transmission of MNPI at the beginning of each consultation.	Legal, Regulatory & Compliance

#	Flag	Section
20	Expert network calls are not regularly chaperoned by the compliance department.	Legal, Regulatory & Compliance
21	The Administrator does not complete AML / KYC verifications.	Legal, Regulatory & Compliance
22	Principal(s) have external business interests.	Legal, Regulatory & Compliance
23	Principal(s) have external directorship positions.	Legal, Regulatory & Compliance
24	The firm has not implemented an endpoint data loss prevention solution.	Technology, Cybersecurity & Business Resilience
25	The firm does not perform network penetration testing.	Technology, Cybersecurity & Business Resilience
26	No board at the Fund level.	Fund Structure, Terms & Investor Alignment
27	Fund does not have a no-fault divorce provision.	Fund Structure, Terms & Investor Alignment
28	The firm utilizes multiple administrators across its product line.	Service Providers, Delegation & Oversight
29	Fund auditor also provides audit / non-audit services to the management company.	Service Providers, Delegation & Oversight
30	Transfers exceeding pre-defined thresholds are not subject to a verification call back.	Investment Operations & Portfolio Controls
31	The administrator does not have control over the banking account utilized to process investor capital activity.	Investment Operations & Portfolio Controls
32	Non-trading related expense payments are not under the control of the Administrator.	Investment Operations & Portfolio Controls
33	The firm does not maintain a fully featured accounting system with a general ledger.	Investment Operations & Portfolio Controls
34	Fund has not appointed a valuation agent.	Valuation, Asset Existence & Investor Reporting
35	The valuation committee is not represented by a majority of non-investment professionals.	Valuation, Asset Existence & Investor Reporting
36	The Administrator accepts pricing from the Manager without conducting any verification for all portfolio positions.	Valuation, Asset Existence & Investor Reporting
37	Carried interest waterfall calculation maintained on Excel.	Valuation, Asset Existence & Investor Reporting

#	Flag	Section
38	The Manager does not maintain internal investor-level accounting records.	Valuation, Asset Existence & Investor Reporting
39	Valuation committee minutes not made available for review.	Manager Transparency & LP Communications

Remediation & Monitoring

Recommended Remediation

#	Issue	Priority	Target	Investor Action
1	Formalize a written succession plan at the management company level	High	2026	Require written commitment
2	Implement a dedicated Chief Compliance Officer function	High	2027	Monitor progress
3	Enhance expert network controls (policy, pre-clearance, blackout, scripting, chaperoning)	High	2026	Require written commitment
4	Appoint a third-party valuation agent for the Fund	High	Pre-final close	Request in side letter
5	Reconstitute the valuation committee with a majority of non-investment professionals	High	2026	Monitor progress
6	Receive legal closing documentation directly from deal counsel at the Administrator	Med	Ongoing	Monitor implementation
7	Transfer operating account control to the Administrator	Med	2026	Monitor progress
8	Require two signatures on new Fund bank account openings	Med	Ongoing	Monitor practice
9	Engage Grant Baker formally as auditor	Med	Pre-first year-end	Confirm before FY26 audit

Post-Close Monitoring

#	Issue	Priority	Target	Investor Action
10	Implement endpoint data loss prevention and monthly phishing testing	Med	2026	Monitor updates
11	Maintain internal investor-level accounting records in parallel to the Administrator	Med	TBD	Monitor progress
12	Migrate carried interest waterfall from Excel to a purpose-built system	Low	TBD	Monitor progress

#	Issue	Priority	Target	Investor Action
13	Monitor the Mythic / LunarPay inquiry for any material development	High	Ongoing	Monitor media and SEC disclosures
14	Monitor media coverage of Marcus Reeves and Daniel Brenner for headline risk	Med	Ongoing	Monitor
15	Monitor growth in operational headcount as AUM scales	Med	Ongoing	Monitor

ALPINE

Chapter 1

Manager, Ownership & Governance

YELLOW

Chapter 1: Manager, Ownership & Governance

Management Company and Affiliates

Aurora Capital Management, LLC ("Aurora", the "Manager") serves as Manager and was founded in 2017 by Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner). Aurora operates as a fully remote company with no physical office space and employees based predominantly in Los Angeles, California. The Manager indicated that the firm had previously operated a dedicated office in Los Angeles but transitioned to a fully remote working model following the COVID-19 pandemic. The team currently meets twice per week in person for investment committee discussions at either Marcus Reeves' or Daniel Brenner's personal residences. Aurora is in the process of identifying a new dedicated office space and anticipates staff attending the new location on a hybrid schedule of one-to-three days per week. A timeline for the move was not provided at the time of this review.

Prior to forming Aurora, Marcus Reeves and Daniel Brenner pursued angel investments sourced from their broader professional networks across the entertainment and media industries. In 2012, the two formalized their investment activities with the launch of Horizon Ventures, LLC ("Horizon"), alongside co-investor Richard Kaplan, the founder and managing partner of Kensington Companies. Horizon raised a single pooled product that invested in direct-to-consumer and mobile application opportunities in the technology industry. Early investments included Nestaway, Metro Rideshare, Pinboard, Lingolab, Swapmarket, Gridstack, and a number of other companies that subsequently listed on public markets. Horizon continues to hold certain legacy positions but has not made any new investments since 2016. The Manager confirmed that Marcus and Daniel do not dedicate a significant amount of time to Horizon's remaining portfolio.

As discussed throughout this report, Marcus Reeves and Daniel Brenner maintain significant business interests outside their respective investment responsibilities at the firm. Marcus Reeves is a prominent actor and film producer, while Daniel Brenner is a talent manager representing several internationally recognized entertainers. Aurora represented that, aside from periodic taping engagements every two-to-three years for Marcus, and despite Daniel frequently attending touring obligations alongside the artists he represents, both Marcus and Daniel are fully dedicated to Aurora's operations on a day-to-day basis, including while performing their external responsibilities. The Manager indicated that external interests are not expected to require more than 20% of their time. Alpine nonetheless highlights that Marcus and Daniel are subject to a higher level of publicity, and therefore media scrutiny, than Alpine would traditionally expect for principals of an investment management firm. In the case of Marcus, this dynamic is compounded by his spouse Lena Torres, who is also a prominent actress. Negative press relating to Marcus or Daniel, whether with respect to these individuals' activities at Aurora or otherwise, may result in reputational damage to the firm. For example, Marcus (and Lena) were recently subject to public and media scrutiny after writing letters of support for their friend and fellow Hollywood actor, who was subject to serious criminal accusations and subsequently convicted. After these letters were made public, Marcus and Lena were heavily scrutinized, especially given Marcus' involvement with a child-safety focused non-profit organization, and the resulting criticism led to Marcus' resignation as chairman of that organization's board. More generally, Alpine notes the potential for headline risk based on Marcus and Daniel's positions as public figures, which may not be expected for principals of other investment management firms. Investors are encouraged to closely monitor media developments including Marcus Reeves and Daniel Brenner, as these individuals' personal lives are subject to enhanced media coverage given their outside business interests.

Alpine draws investors' attention to the Fund's Amended and Restated Limited Partnership Agreement, dated August 31, 2025 (the "LPA"), Section 8.3 Devotion of Time; Successor Funds; Investment Opportunities; Other Activities;

SPV Funds; Parallel Funds; and Other SV Funds. (a), which indicates that each General Partner, i.e., Marcus Reeves, Daniel Brenner, and Rebecca Stern, may "*(iii) form operate and manage any other investment fund with an investment criteria or strategy that is different than the Partnership (as reasonably determined by the General Partner), as well as any entity formed to carry out the management of such entities, (iv) found, organize or promote new companies that are anticipated to become Portfolio Companies, (v) serve in an operating or executive capacity with respect to any company that is an investment of the Partnership, and (vi) form, operate and manage an investment fund solely for the purposes of facilitating investments primarily by a single investor and its affiliated entities.*" Investors should be comfortable with the flexibility that the General Partners may perform any of the above prior to allocating. In particular, Alpine highlights the potential conflicts of interest presented by the General Partners being able to found, organize, or promote new companies that are anticipated to become portfolio companies. Aurora confirmed that this provision is included in the Fund's LPA for flexibility, and that this has not occurred previously and is not expected to occur in practice.

Aurora indicated that employees maintain directorship positions on portfolio companies. Alpine understands that directorship positions on portfolio companies are not typically compensated.

The Manager maintains a formal restricted list, which had zero names at the time of this review.

Aurora has a combined Directors and Officers' / Errors and Omissions ("D&O / E&O") insurance policy to protect the Manager and Directors against claims or litigation for unsatisfactory or negligent management, with a total coverage of $5 million. The Manager indicated that the cost of the policy is charged entirely to the firm's products. Aurora confirmed that no claims have been made on the policy to date.

Assets under Management

Aurora had total assets under management ("AUM") of $981.54 million (excluding $215.59 million in uncalled capital commitments) as at December 31, 2025, which includes Horizon's AUM ($120.56 million). Alpine defines AUM as net asset value ("NAV") excluding uncommitted capital.

Aurora is a venture capital firm focused on acquiring minority interests in software companies within the enterprise software-as-a-service ("SaaS") and cloud, artificial intelligence ("AI") and intelligent compute, blockchain infrastructure, and consumer mobile sectors. The Manager has achieved this through a variety of fund products employing different strategies:

• **Aurora Ventures:** The Manager's flagship strategy, Aurora Ventures, is comprised of three vintages employing an early-stage venture capital strategy, that is, investing in Seed to Series B financing rounds of technology and technology-related companies. The first vintage of the strategy, Aurora Ventures I, L.L.C. ("Fund I"), only had a single limited partner, Silverline Media (NASDAQ: SLMA). Aurora has since repurchased Silverline's limited partnership interest to become the sole owner of Fund I. Aurora has launched new Aurora Ventures vintages every three years since initially commencing the strategy in 2017 and is now fundraising for the fourth vintage of the strategy, Aurora Ventures IV, L.P. ("Fund IV"). Fund IV is targeting a raise of $300 million to invest in enterprise SaaS and cloud, AI and intelligent compute, and other "emerging theme" opportunities as they arise in North America and Israel.

• **Aurora Chain Fund:** The firm launched the first of its thematic funds in 2023 with the $42 million fundraising of Aurora Chain Fund, LP (the "Chain Fund"). The Chain Fund invests in pre-seed and seed opportunities in blockchain infrastructure.

• **Aurora AI Fund:** Aurora launched its second thematic strategy in 2025 with the $242 million fundraising of Aurora AI Fund, L.P. (the "AI Fund"). The firm noticed that generative AI was nearing a point of usability and commercialization, thereby creating the potential for an AI-dedicated investment strategy. The AI Fund invests in

AI-related growth companies and had an AUM of $304.66 million as at December 31, 2025.

• **Silverline / Aurora Joint Venture (the "Joint Venture"):** In 2017, Aurora pursued a joint venture with Silverline Media, a publicly listed mass media company (NASDAQ: SLMA), with a total fund size of $45 million. In this joint venture, Aurora invested in Series B and Series E financing rounds of Stockleaf (distributed to paid-in capital ("DPI") of 30x) and Bridge to C and Series C financing rounds of SignalOne (DPI of 28x). The Joint Venture continues to hold certain assets, with an AUM of $63.05 million as at December 31, 2025.

• **Horizon:** As mentioned in *Management Company and Affiliates*, the Manager includes Horizon's performance and AUM in its firmwide reporting. As at December 31, 2025, Horizon had AUM of $120.56 million.

The Manager indicated that, in addition to the vehicles described above, the firm has established two co-investment vehicles for certain portfolio company investments. These vehicles had a combined AUM of $11.36 million as at December 31, 2025. As an update, since December 31, 2025, the Manager represented that it has formed an additional co-investment vehicle for a recent investment in the AI Fund.

Insider Investment

The Manager represented that insider investment as at December 31, 2025 was approximately 5.3% of total capital commitments, equivalent to $42.69 million (of which $25.04 million was paid in). However, Aurora stated that this amount of insider investment does not represent a significant portion of the liquid net worth of the firm's key employees. Investors should monitor the degree to which insiders choose to retain personal capital within the firm's products.

For Fund IV, Aurora is relying on a cashless contribution mechanism for general partner commitments whereby only half is funded in cash, with the balance via a reduction in management fees. The Manager indicated that it feels that this arrangement serves to enhance the alignment of interests with external investors, while also allowing the Manager to increase the general partner commitment in absolute terms. Alpine disagrees, however, and feels that this arrangement reduces the alignment of interests between management and external investors as it reduces the general partner's upfront "skin in the game". Looking forward, investors are recommended to monitor whether insiders will reinvest carried interest received from prior vintages and continue to commit 3% of capital commitments.

Alpine notes that co-investment structures have been established on behalf of insiders to make personal co-investments alongside client portfolios. The Manager indicated that these investments occur infrequently, are small amounts, and that these investments are disclosed prior to making an investment. Aurora mentioned these investments are made at the request of the portfolio company for strategic purposes, presumably due to the public notoriety of Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner). Additionally, Aurora confirmed that the compliance function oversees these personal co-investments. Alpine notes, however, that as these investments are made separately to the reference commingled vehicles, they do not share any portion of deal expenses.

Ownership & Succession

Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner) each own 40% of Aurora, while Rebecca Stern (General Partner) owns the remaining 20%.

Alpine notes that the Manager has not established a formal succession plan and the firm does not carry key person / life insurance. Aurora confirmed that Marcus, Daniel, and Rebecca have discussed succession planning procedures informally, however, such procedures have not been formalized in writing. In practice, the Manager indicated that it maintains key person provisions in its offering documents that address this concern. With respect to Fund IV, the key person provision indicates that if any two of Marcus, Daniel, and Rebecca cease to fulfill their time commitment requirement to Fund IV, investors will be notified and the investment period will be suspended. Alpine nonetheless feels that a succession plan should be formalized to address these concerns at the business level rather than at the product level. Insurance policies would also provide some comfort regarding business continuity. Upon Alpine's suggestion, Aurora did not definitively indicate whether it would seek to formalize a succession plan. Investors are encouraged to monitor developments in this area.

Human Resources

As at December 31, 2025, Aurora had a total headcount of nine (of which six were investment professionals). As Aurora is a small organization with limited resources, Alpine highlights the unavoidable limitations to the segregation of duties in a firm of this size. Investors should monitor the growth in operational staff as assets under management accumulate.

With respect to departures in the past three years, the Manager represented that Thomas Wright (former Principal) was terminated effective May 31, 2025, and Priya Desai (former Principal) resigned on September 22, 2025. Aurora provided the following reason for these departures: upon internal discussion, it was determined that there was no viable path to these professionals becoming partners, and it was in the best interest of all parties to part ways. The Manager indicated that these departures were amicable and did not result in any ensuing litigation.

With respect to hires in the past three years on the investment team, Austin Knight (Principal) joined the firm in January 2023, Connor Lyle (Analyst) joined Aurora in September 2025, and Sofia Marchetti (Senior Associate) joined Aurora in October 2025. Additionally, Kevin Park (Vice President, Finance and Operations) and Elena Ruiz (Operating Partner) were hired in December 2023 and March 2025, respectively. Looking forward, Aurora indicated that it is looking to expand its investment team with two-to-three hires at the Analyst / Associate level in the next year.

The Manager employs the firm's staff directly and indicated that it conducts background checks on all new hires, including references, education, credit, and criminal records with the assistance of an external background check provider; however, there are no subsequent checks on employees once hired. Alpine recommends performing recurring background checks on employees throughout their tenure with the firm.

Staff are compensated with base salaries and discretionary bonuses, contingent on individual and firm performance. Additionally, employees of the investment team, as well as Kevin Park (Vice President, Finance and Operations), are eligible to participate in the carried interest generated by the firm's products. Additionally, the Manager represented that Elena Ruiz (Operating Partner) is expected to be eligible to participate in the carried interest generated by Fund IV. Alpine notes that no form of compensation is deferred: a deferred compensation program would support longer-term staff incentivization.

Chapter Summary

YELLOW

While Alpine acknowledges that Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner) lack prior work experience and formal education in the asset management industry (other than their investment experience with Aurora and Horizon), Alpine notes that Aurora has hired experienced individuals throughout the rest of the team. Additionally, Alpine agrees that in absolute terms, insider investment in the firm's products is significant; however, the alignment of interests with external investors is diminished as these amounts do not represent a significant portion of the liquid net worth of the principals and the firm will rely on a cashless general partner commitment mechanism for its upcoming Fund IV. The diminishment in the alignment of interests is compounded by staff not being subject to a deferred compensation plan. Separately, Aurora has not formalized a succession plan at the business level in the event that its General Partners (Marcus, Daniel, and Rebecca Stern) are no longer involved in the operations of the firm. As a final comment, Alpine notes that Aurora is a small firm with limited resources (only a single back office staff member): investors should monitor the growth in operational staff as assets under management accumulate. The culmination of these observations drives a Yellow rating for *Manager, Ownership & Governance*.

ALPINE

Chapter 2

Legal, Regulatory & Compliance

YELLOW

Chapter 2: Legal, Regulatory & Compliance

Regulatory Oversight

Aurora is currently exempt from registration with the United States Securities and Exchange Commission ("SEC") pursuant to the Investment Advisers Act of 1940. As a venture capital manager, Aurora is nonetheless required to file responses to certain limited portions of Part 1 of Form ADV that are applicable to registered investment advisers but under the status as an Exempt Reporting Adviser ("ERA"). As such, the Manager has had the status of ERA since November 30, 2018.

Compliance Infrastructure and Policies

Alpine notes that Aurora does not have a dedicated Chief Compliance Officer ("CCO"), with Kevin Park (Vice President, Finance and Operations) taking responsibility for compliance oversight in addition to his responsibilities in accounting, finance, and operations. As the firm continues to grow, Aurora could usefully give consideration to hiring a dedicated CCO, who would assume responsibility for monitoring and improving the culture of compliance within the organization.

The firm also has access to external compliance consultants, Apex Compliance Advisors, who are used to support the firm's compliance program. Aurora engaged Apex in Q3 2025 to assist the firm in formalizing its existing processes. Alpine is pleased to see Aurora engage a well-known compliance consultant, particularly in light of the firm's limited headcount.

The firm has a written compliance manual, dated January 2026, that was prepared with the assistance of Apex. The manual is brief (at 40 pages in length) and is supplemented by a code of ethics (also dated January 2026). Staff are required to read the compliance manual and sign a declaration to confirm their agreement to comply with the policies and procedures upon joining the firm and annually thereafter.

Aurora has implemented an annual compliance training program with training sessions conducted by Apex. The most recent training session was held in January 2026 and addressed the policies and procedures of the compliance manual and code of ethics.

Personal Trading

The Manager maintains a personal trading policy as a section in the code of ethics (dated January 2026). Personal trading is permitted, however, subject to pre-clearance only on securities on the firm's restricted list, which the Manager represented currently has zero names. Alpine notes that pre-clearance is not otherwise required, which Alpine would prefer even in light of the firm's strategy. Furthermore, while the personal trading policy indicates that "*Excessive personal trading that would distract Employees from their daily work responsibilities is discouraged and may be monitored by the Firm,*" Alpine notes that the personal account dealing policy does not include a minimum holding period on transactions; the implementation of a minimum holding period would eliminate the appearance of conflicts of interest associated with short-term trading activity.

Alpine notes that certain Aurora funds are permitted to hold digital assets, however, the Manager does not track employees' trading in cryptocurrencies. Additionally, Alpine notes the absence of a formal prohibition of employee personal trading in securities held in client accounts and understands that such trades are not subject to pre-clearance. Alpine would prefer for such transactions to be prohibited, in line with industry best practice.

Aurora does not seek to obtain independent copies of brokerage statements to monitor compliance with the firm's personal trading policy. Alpine would prefer for Aurora to receive copies of employee brokerage statements independently, in line with industry best practice.

Alpine notes that less stringent personal trading policies remain common for venture capital firms, given that portfolio investments do not typically involve publicly traded assets. While the opportunity for front-running is limited, investment managers should nonetheless ensure that the overall volume of trading by employees does not distract from their core functions. Aurora could usefully seek to align its controls with public market investment manager standards.

Trade Errors

Due to the nature of its investment strategy, trade errors are not anticipated and the Manager has not implemented a specific trade error policy.

Soft Dollars

Due to the nature of its investment strategy, the Manager is not expected to engage in soft dollars or commission sharing.

Expert Networks

Aurora has contracted InsightSphere to obtain access to third-party research consultants. InsightSphere is engaged on a formal, contractual basis. The Manager indicated that, in the month of March 2026, Aurora conducted 14 expert network calls.

Alpine highlights that Aurora has not adopted substantive expert network controls, relying on the investment team to "use their best judgment" when engaging InsightSphere's experts. Given the attention that expert networks have received previously for their role in insider trading and the potential reputational hazard of such an investigation, Alpine believes that Aurora could benefit from strengthening its controls in this area. In particular, Alpine recommends the following process enhancements: i) the creation of a formal expert network policy; ii) pre-clearance for each expert network consultation being required for each expert network consultation by the compliance function (administered by Kevin Park in his capacity as Vice President, Finance and Operations); iii) a blackout period implemented with respect to consultations with experts employed by public companies; iv) Aurora employees being required to read a formal script at the onset of an expert network call; and v) the compliance function anonymously chaperoning expert network consultations. Alpine nonetheless notes the absence of substantive expert network controls implemented by Aurora.

Alpine recognizes, however, that expert network controls for venture capital managers are often less robust than those for hedge fund managers given the lack of investment in publicly traded securities. To that point, the Manager represented that expert network discussions are focused on sector-specific information and research rather than specific companies, limiting the risk of transmission of MNPI.

Anti-Money Laundering / Know Your Customer

The Manager represented that anti-money laundering ("AML") and know-your-customer ("KYC") verification procedures are conducted by Aurora (with the assistance of Brennan Kincaid LLP, the firm's legal counsel). The Manager confirmed that it verifies subscription identities to the Office of Foreign Assets Control ("OFAC") checklist and that personal identification documents, including passports and proof of address, are provided to the Manager to facilitate these verifications. Alpine would strongly prefer for Aurora to retain the services of Meridian's investor services group to perform full AML / KYC checks on all investors.

Claims, Actions, and Conflicts

Alpine highlights that Daniel Brenner (Co-Founder / General Partner) is currently the subject of what Aurora has indicated is an "inquiry" related to a class action lawsuit filed against two portfolio companies of the Chain Fund, Mythic Studios, Inc. ("Mythic") and LunarPay, Inc. ("LunarPay"), and Mythic's offering of Crystal Tiger Society NFTs. In December 2024, Montgomery & Reed LLP filed a class action lawsuit in the U.S. District Court for the Central District of California alleging a coordinated promotion effort between Mythic's executives together with Daniel and affiliated parties to market a suite of digital assets. The defendants in the suit relevant to Aurora include Daniel Brenner, Mythic Studios, LunarPay, and former Aurora employee Priya Desai (former Principal). Several high-profile entertainers and athletes who received Mythic-related offerings through Daniel's network are also listed as defendants. On a related note, it was widely reported in October 2024 that the SEC is investigating Mythic concerning the offering of Crystal Tiger Society NFTs and TigerCoin (Mythic's native cryptocurrency token), and whether these offerings represented unregistered securities offerings. The Manager indicated that this case is not expected to cause material harm to Aurora, nor is it taking away from Daniel's time as General Partner of the firm. As the case is currently ongoing, Aurora noted that it was "not aware" of any potential fines or penalties that may arise.

As a general observation, it is not uncommon for asset managers investing in private markets to be subject to certain business litigation. Given the legal ambiguity surrounding cryptocurrency and blockchain technology, it is conceivable that, by investing in opportunities in these sectors (or related), Aurora may be subjecting itself to additional regulatory and legal risks. Given the Manager's representations of the situation as described above, it appears unlikely that this ongoing legal claim will be materially harmful to the broader organization's financial position. Nonetheless, legal and reputational developments arising from this claim should be monitored. Apart from the above, the Manager represented that it is not currently the subject of additional actions, claims, investigations, or litigations. Alpine recommends that investors conduct a periodic background check on the Manager, any relevant affiliates, and senior employees to verify this representation.

As mentioned in *Chapter 1 — Management Company and Affiliates*, Aurora's Co-Founders, Marcus Reeves (Co-Founder / General Partner) and Daniel Brenner (Co-Founder / General Partner), maintain significant business interests outside their respective investment responsibilities at the firm. Marcus Reeves is a prominent actor and film producer, while Daniel Brenner is a talent manager for some of the world's most recognized entertainers. Alpine notes, however, that Aurora represented that aside from periodic taping engagements every two-to-three years for Marcus, and despite Daniel frequently attending touring obligations alongside the artists he represents, Marcus and Daniel are fully dedicated to Aurora's operations on a day-to-day basis, even while performing their external business responsibilities. Furthermore, no external interests are expected to require more than 20% of their time. Alpine nonetheless highlights that Marcus and Daniel are subject to a higher level of publicity, and therefore media scrutiny, than Alpine would traditionally expect for principals of an investment management firm. In the case of Marcus, this is compounded by his spouse Lena Torres, also a prominent actress. Negative press relating to Marcus or Daniel, whether with respect to these individuals' activities with Aurora or otherwise, may result in reputational damage to the firm. Investors are encouraged to closely monitor media coverage of Marcus and Daniel, as these individuals' personal lives are subject to enhanced media coverage given their outside business interests.

Alpine draws investors' attention to the LPA, Section 8.3 Devotion of Time; Successor Funds; Investment Opportunities; Other Activities; SPV Funds; Parallel Funds; and Other SV Funds. (a), which indicates that each General Partner, i.e., Marcus Reeves, Daniel Brenner, and Rebecca Stern, may "*(iii) form operate and manage any other investment fund with an investment criteria or strategy that is different than the Partnership (as reasonably determined by the General Partner), as well as any entity formed to carry out the management of such entities, (iv) found, organize or promote new companies that are anticipated to become Portfolio Companies, (v) serve in an operating or executive capacity with respect to any company that is an investment of the Partnership, and (vi) form, operate and manage an investment fund solely for the purposes of facilitating investments primarily by a single* *investor and its affiliated entities.*" Investors should be comfortable with the flexibility that the General Partners may perform any of the above prior to allocating. In particular, Alpine highlights the potential conflicts of interest presented by the General Partners being able to found, organize, or promote new companies that are anticipated to become portfolio companies. Aurora confirmed that this provision is included in the Fund's LPA for flexibility, and that this has not occurred previously and is not expected to occur in practice.

Aurora indicated that employees maintain directorship positions on portfolio companies. Alpine understands that directorship positions on portfolio companies are not typically compensated.

The Manager maintains a formal restricted list, which had zero names at the time of this review.

Aurora has a combined Directors and Officers' / Errors and Omissions ("D&O / E&O") insurance policy to protect the Manager and Directors against claims or litigation for unsatisfactory or negligent management with a total coverage of $5 million. The Manager indicated that the cost of the policy is charged entirely to the firm's products. Aurora confirmed that no claims have been made on the policy to date.

Chapter Summary

YELLOW

While Alpine notes the Manager's representation that Daniel Brenner's (Co-Founder / General Partner) outstanding inquiry with respect to Mythic and LunarPay is not expected to result in material harm to the firm, this case remains ongoing and investors are encouraged to monitor developments in this area. Additionally, Alpine highlights Marcus Reeves and Daniel Brenner's significant business interests outside their respective responsibilities at Aurora. As a result, Marcus and Daniel are subject to a higher level of publicity, and therefore media scrutiny, than Alpine would traditionally expect for principals of an investment management firm. Furthermore, Alpine highlights that the Manager is not subject to regulatory oversight, as it is currently an ERA with the SEC. As a final comment, Aurora could usefully seek to implement more substantive expert network controls, although Alpine recognizes that expert network discussions are focused on sector-specific information and research rather than specific companies, limiting the risk of transmission of MNPI. Overall, the above observations drive a Yellow rating for *Legal, Regulatory & Compliance*.

ALPINE

Chapter 3

Technology, Cybersecurity & Business Resilience

GREEN

Chapter 3: Technology, Cybersecurity & Business Resilience

IT Overview

IT functions have been outsourced to IT solutions provider Vantage Tech Partners, LLC ("Vantage"). Internal to the firm, Kevin Park (Vice President, Finance and Operations) is the point person responsible for liaising with Vantage on IT-related matters.

Aurora leverages cloud-based / software-as-a-service ("SaaS") solutions such as Slack for internal communications, Dropbox for internal file sharing, Google Workspace for email, and Zoom for video conferencing, among others. With respect to backup procedures, Alpine understands that Aurora primarily relies on the redundant backup features built into the cloud / SaaS environments. In addition, the firm uses BackupVault, which backs up Google Workspace and Dropbox in real time.

Cybersecurity Controls

Aurora has a formal written information security policy (the "WISP"), dated November 28, 2025, that was made available for Alpine's review in soft copy. The policy is reasonably detailed. The Manager maintains a separate incident response plan, dated November 28, 2025: Alpine is pleased to see the Manager acknowledge the risk of security breaches. However, Aurora has not implemented a regimented approach to cybersecurity. Alpine's view is that adopting a third-party framework (such as the ISO 27K, NIST, ISACA, or SANS Institute guidelines) or guidance from a regulator (such as the SEC) would provide a systematic approach to cybersecurity.

The firm has also instituted an annual cybersecurity training program, with the latest session held in January 2026 by Kevin Park (Vice President, Finance and Operations). Training sessions include discussions of cybersecurity-related matters and best practices. While Alpine notes that the firm does not currently perform phishing tests, the Manager indicated that it expects to implement these "in the next few months". Investors are encouraged to monitor developments in this area and request updates.

Aurora has implemented a data loss prevention program that includes enforced user access controls to applications and sensitive data by function (reviewed upon the hire or departure of any employee). Moreover, the Manager enforces a password policy that includes character and complexity requirements and restrictions on password recycling and sharing. Alpine notes that passwords are not required to be changed if they meet these character and complexity requirements. Alpine understands that popular cybersecurity frameworks, such as NIST, now discourage the frequent change of passwords unless necessary.

Alpine notes that Aurora has not implemented a data loss prevention solution to protect against sensitive data from the firm's endpoint devices (i.e. desktops, laptops, smartphones, and / or tablets) being transferred outside the network (i.e. access to removable drives, personal email accounts, and personal cloud storage accounts) without the firm's knowledge. In addition, Alpine highlights that the firm does not monitor the transfer of large files externally. While the use of removable media is discouraged and the Manager confirmed that it is limited in practice, Alpine would prefer the firm to implement a data loss prevention solution.

Aurora indicated that company-issued devices are required to maintain firewall and antivirus software. Furthermore, the Manager confirmed that an anti-spam solution, web filtering application, and intrusion detection system are provided in Google Workspace. The Manager does not perform penetration testing since the entire IT infrastructure is externally hosted on cloud-based applications.

Alpine notes that the WISP maintains a section on employee use of personal computers for business purposes. The Manager confirmed, however, that this has not occurred in practice, and is in place for extreme circumstances. Alpine nonetheless notes that this is an uncommon practice.

Business Continuity

Aurora has a written business continuity and disaster recovery plan (the "BCP"), dated November 27, 2025, that was made available for Alpine's review in soft copy. The Manager represented that the BCP is tested continuously given remote work connectivity.

The Manager noted that employees' remote access is secured by multi-factor authentication.

Chapter Summary

GREEN

Overall, Alpine's review identified that Aurora has implemented baseline IT and cybersecurity controls to support a Green rating for *Technology, Cybersecurity & Business Resilience*. Alpine highlights that Aurora has not implemented an endpoint data loss prevention solution to protect against data being moved off the network without the firm's knowledge. Furthermore, investors are encouraged to monitor developments with respect to Aurora implementing monthly phishing testing. As a final comment, Alpine highlights that the Manager represented that it does not perform penetration testing, as the IT infrastructure is hosted on cloud-based applications.

ALPINE

Chapter 4

Fund Structure, Terms & Investor Alignment

GREEN

Chapter 4: Fund Structure, Terms & Investor Alignment

Legal Structure

Aurora Ventures IV, L.P. (the "Fund") was formed in Delaware on June 26, 2025 and commenced operations on March 6, 2026. The Fund invests on a standalone basis with no underlying master fund.

Aurora Ventures GP IV, LLC (the "GP"), a Delaware limited liability company, serves as the Fund's general partner.

The Fund's Amended and Restated Limited Partnership Agreement (the "LPA"), dated August 31, 2025, indicates that the GP may create alternative investment vehicles ("AIVs") to hold investments for certain legal, tax, regulatory, or other considerations. The Manager confirmed that such entities are not expected to be formed in practice.

Additionally, the LPA indicates that the GP is permitted to form a parallel fund. Alpine understands, however, that this is not expected to occur in practice.

Key Terms

Interests in the Fund are offered in US Dollars. The Fund held its first closing on August 31, 2025 and is targeting $300 million in total capital commitments. As at the date of this review, the Fund had raised $135 million in capital commitments, is expected to hold a final closing by the end of 2026, and currently holds one investment, Petal Inc, acquired on March 6, 2026. The Manager confirmed that the Petal Inc position was acquired following a capital call to limited partners and that the total NAV of the Fund as at March 31, 2026, with this single investment, was $15.02 million.

The GP is expected to commit at least $9 million, equivalent to 3% of total capital commitments if the target raise is met. As described in *Chapter 1 — Insider Investment*, the general partner commitment mechanism is cashless, with only half funded in cash and the balance via a reduction in management fees. Alpine considers that this arrangement reduces the alignment of interests with external investors by reducing upfront principal capital in the Fund.

Alpine draws investors' attention to the following points of interest on terms:

The LPA does not have a no-fault divorce provision allowing for the removal of the GP without cause. In partial mitigation, the Fund does maintain a no-fault dissolution clause, whereby limited partners holding at minimum 80% of the Fund's aggregate commitments may dissolve the Fund for any reason after the final close.

The Manager stated that the Fund does not have any side letters and is not expected to enter into such agreements.

Fee Structure

The Fund charges a management fee of 2% per annum, which is reduced by 0.25% annually upon the fifth anniversary of the final close, provided that the management fee shall not be reduced to less than 1.25% per annum. Alpine notes that a 2% management fee is consistent with the broader venture capital market and considers this to be in line with industry standards.

The Fund is subject to a modified European distribution waterfall schedule, calculated as follows: first, to limited partners until distributions equal total contributions to the Fund; second, 80% to limited partners and 20% to the General Partner until a 3x return hurdle is satisfied; third, from and after the 3x return hurdle is satisfied, 20% to limited partners and 80% to the General Partner until the General Partner has received aggregate distributions equal to 25% of cumulative distributions; fourth, thereafter, 75% to limited partners and 25% to the General Partner until a 5x return hurdle is satisfied; fifth, from and after the 5x return hurdle is satisfied, 20% to limited partners and 80% to the General Partner until the General Partner has received aggregate distributions equal to 30% of cumulative distributions; sixth, thereafter, 70% to limited partners and 30% to the General Partner.

Alpine notes that there is no industry-standard preferred return required to be achieved before carried interest is paid, although Alpine agrees that this is a standard distribution waterfall structure within the venture capital space.

With respect to expenses, the LPA indicates that the Fund will bear ongoing Fund expenses including: all costs and expenses incurred in the holding, purchase, sale, or exchange of assets (whether or not ultimately consummated); costs and expenses incurred for research services and publications, including legal fees for investment-related research, banking and consulting fees relating to investments or proposed investments; travel and related expenses (in accordance with the Management Company's policies) incurred in investigating, purchasing, or managing securities; consulting and professional services fees; custody expenses (including expenses related to proprietary systems); and fees and expenses related to attending industry conferences.

In practice, the Manager confirmed that costs for research services and travel expenses are not passed through to the Fund. Additionally, the Manager confirmed that no system expenses are charged to investors in practice. Aurora indicated that broken deal expenses are charged to the Fund. With respect to professional fees, Alpine notes that the Manager engages Keystone Capital Introductions, a third-party consultant responsible for performing capital introductions to institutional investors, with these fees passed through to the Fund in practice.

Alpine notes that it is industry standard for venture capital funds to charge through organizational expenses (which include marketing expenses) to investors. The LPA indicates that organizational expenses are subject to a cap of $750,000. The Manager indicated that Placement Fees, excess organizational expenses, and the cashless portion of the general partner commitment ($4.5 million, or 1.5% of total commitments if the fundraising target is met) offset the management fee.

The Fund commenced operations on March 6, 2026 and, as such, has not been subject to an audit. Investors should monitor the level of operating expenses and other non-investment-related fees charged through the Fund when audited accounts are available. As a proxy, the Manager provided the 2025 audited financial statements for Aurora Ventures III, L.P. ("Fund III"), which indicated an expense ratio of approximately 25 basis points, attributable to professional fees ($228,499) and other expenses ($55,480).

Corporate Governance

Limited partnerships do not operate under the supervision of a Board of Directors. The functional equivalent is the GP, which, in this instance, is an affiliate of Aurora. As a result, there is no possibility of independent oversight equivalent to what is usually accomplished by the Board of Directors of an offshore fund structured as a corporation.

According to the Fund's LPA, the General Partner shall establish an Advisory Committee (commonly referred to as a Limited Partners' Advisory Committee ("LPAC")), comprised of two to five limited partners, following the final closing. The Manager represented that the LPAC will meet at least annually, and may also be convened ad hoc to discuss arising issues and potential conflicts. Investors are encouraged to refer to the Fund's LPA for the full list of consent rights granted to the LPAC. While Alpine welcomes this attempt to introduce a degree of independence in the Fund's governance, Alpine notes that investor committees suffer from their own conflicts of interest, as the welfare of individual investors will not always align with those of investors as a group.

Investment Strategy

The Fund is a venture capital vehicle that seeks to make minority investments in Seed to Series B companies in the artificial intelligence ("AI") / intelligent compute, enterprise SaaS and cloud sectors, as well as "emerging themes" in the technology industry, under a closed-ended structure. Geographically, the Fund is focused on North America, however, consistent with previous vintages of the strategy, the Fund may pursue international opportunities where there is visibility on the market (e.g., Israel). The Fund will target 7-10% ownership stakes in its portfolio company investments and is expected to hold roughly 20-25 companies once fully invested. The Fund is expected to retain approximately 30% of total capital commitments for follow-on investments.

The Fund currently holds one investment, Petal Inc, acquired on March 6, 2026. The total NAV of the Fund as at March 31, 2026, with this single investment, was $15.02 million.

The Fund's LPA contains various investment restrictions, notably that the Fund shall not invest more than 20% of capital commitments in a single portfolio company, invest more than 10% of capital commitments in digital assets, or invest in publicly traded companies. Please refer to the LPA for a full list of investment restrictions.

As mentioned above, the Fund may invest up to 10% of capital commitments in digital assets, defined in the LPA as "*cryptocurrencies, decentralized application tokens and protocol tokens, blockchain-based assets and other cryptofinance and digital assets*". Alpine highlights that investments in such assets are subject to various specialized risks, including technological, security, regulatory, and transferability (among others). Investors should monitor the Fund's potential exposure to digital assets going forward, including operational controls around those assets. The Manager confirmed, however, that the Fund is not expected to hold digital assets in practice, and that this provision is included in the LPA for flexibility.

Chapter Summary

GREEN

No material issues were noted with respect to the Fund's legal structure and terms of investment, which drives a Green rating for *Fund Structure, Terms & Investor Alignment*. Alpine recommends, however, that investors monitor the Fund's expense ratio when the audited accounts are made available.

ALPINE

Chapter 5

Service Providers, Delegation & Oversight

GREEN

Chapter 5: Service Providers, Delegation & Oversight

Provider Roster

Meridian Fund Services, LLC ("Meridian", the "Administrator") has been engaged to provide administration services for the Fund, including transaction-level accounting, partnership capital accounting, and NAV calculations from its office in Thousand Oaks (CA). Aurora has engaged Meridian on all of its recent vintages and, accordingly, this represents a continuation of an established relationship rather than a new engagement.

Alpine notes that Aurora has engaged Aspen Fund Services ("Aspen") to serve as fund administrator for the Chain Fund. The Manager indicated that it engaged Aspen in this regard as Meridian was not offering fund administration services for blockchain-related funds at the time and Aspen was more competitive on pricing. While Alpine has no immediate concerns over such an arrangement, Alpine highlights that having two different fund administrators inherently adds undue operational complexity for the firm.

Alpine was permitted to review the Fund's administration agreement, dated August 31, 2025, via screenshare. It is notable that Meridian's liability under the administration agreement is capped at the prior 12 months of fees. Clearly, this is a significant restriction on investors' ability to hold the Administrator to account, as the cap is immaterial in the context of the overall AUM of the Fund.

The Fund's auditor is expected to be Grant Baker LLP ("Grant Baker"), with fieldwork to be completed remotely (though the audit team is based in Los Angeles, CA). As at the date of this review, the engagement letter with Grant Baker had not yet been signed. Alpine notes that Grant Baker was engaged firmwide as of the 2024 year-end audit, with Aurora having previously engaged Merrick Patterson LLP ("MP"). The Manager attributed this change to wanting to engage a Big 4 auditor.

Alpine notes that Grant Baker has also been engaged to provide tax services to the management company: Alpine would prefer to see the Manager engage a separate firm to provide tax services to the management company to avoid the appearance of a conflict of interest over the independence surrounding the Fund's audit.

Chapter Summary

GREEN

The continuation of established provider relationships from prior vintages provides comfort. Alpine notes the use of two different administrators across the firm's product line and the auditor's cross-engagement with the management company, and recommends investors monitor these arrangements over time. No other material issues were identified with respect to the Fund's service provider roster, supporting a Green rating for *Service Providers, Delegation & Oversight*.

ALPINE

Chapter 6

Investment Operations & Portfolio Controls

GREEN

Chapter 6: Investment Operations & Portfolio Controls

Portfolio Management Systems

The Fund is a closed-ended vehicle and engages in private transactions rather than active trading. Trading, accounting, and reconciliation issues, therefore, relate to the flow of money to fund deals, the return of cash upon disposition of the asset, and distributions to limited partners.

Aurora uses RelayFlow for deal management. Alpine notes that Aurora operates without a formal, third-party accounting system, and instead relies on the Administrator to maintain and reconcile the formal accounting books and records for the Fund using LedgerCraft Enterprise. Alpine notes that LedgerCraft Enterprise maintains general ledger capabilities. Internally, the Manager confirmed that it tracks individual cash transactions and aggregate cash balances of the Fund using Excel.

Given the strategy, investment volume for the Fund is expected to be relatively low, with a total of 20-25 deals expected over the course of the investment period.

The Manager indicated that the majority of opportunities (70%) are sourced through the firm's network and outbound outreach efforts. Given the team's extensive network and investing history, Aurora has gained access to a wide network of founders. To a lesser extent, Aurora leverages inbound referrals (22%) and startup accelerators such as Y-Combinator (8%) to source opportunities. In 2025, Aurora reviewed approximately 2,500 opportunities, making only seven new investments.

Investment Decision Process

Due diligence of opportunities is staffed by at least two investment professionals, of which one is Marcus Reeves (Co-Founder / General Partner), Daniel Brenner (Co-Founder / General Partner), or Rebecca Stern (General Partner). Each of Marcus, Daniel, and Rebecca maintain different capabilities to aid in the diligence process: Marcus focuses on the potential to scale a product, Daniel focuses on commercial viability and marketing opportunities, and Rebecca focuses on founder-market fit and the team's depth of talent. Diligence typically entails calls with the founders / team, market analysis, competitive benchmarking, financial analysis of the given company, user data, evaluation of technology and operational systems, product demonstrations, etc. The diligence process is documented in an investment memorandum, which becomes more developed as the diligence process continues, to eventually be presented to the investment committee (the "IC").

While the IC is comprised of Marcus Reeves (Co-Founder / General Partner), Daniel Brenner (Co-Founder / General Partner), and Rebecca Stern (General Partner), the whole firm sits on IC meetings. The Manager estimated that prospective opportunities are deliberated at least six times by the IC prior to execution. The Manager represented that the IC formally convenes at least once weekly, typically on Monday mornings, but in practice, given the small team, members of the IC are in constant conversation throughout the investment process.

Alpine highlights that the approval of only one of the three voting members, i.e. one of Marcus, Daniel, or Rebecca, is required for an investment to be made. Aurora indicated that there have been numerous investments for which not all voting members approved. Furthermore, while each member of the IC maintains the right to veto a deal, the Manager indicated that this right has not been exercised to date in practice. Alpine notes that this is unusual: typically, Alpine would expect the IC to require unanimous or majority consent to approve a deal, rather than allowing one member to unilaterally approve a deal.

Investment Allocation

The Manager has a written investment allocation policy, as a section in the compliance manual (dated January 2026), which was made available to Alpine for review in soft copy. In practice, investment allocation issues are not anticipated, as Fund III is fully invested with respect to platform investments, and opportunity overlap is not expected with either of the thematic funds. The policy states that a number of factors are considered in the event of investment allocation issues, including the amount of available cash, diversification impacts, risk and volatility characteristics, etc. Aurora confirmed that investment allocation decisions would require the oversight of Kevin Park (Vice President, Finance and Operations) in his role as compliance officer.

Aurora indicated that co-investments are offered to investors on an overflow basis. In practice, Aurora has formed three special purpose vehicles ("SPVs") for co-investments in prior vintages / other strategies to allow for outsized allocations to particular portfolio companies. The Manager confirmed that co-investments are not subject to management fees; however, are subject to carried interest and deal expenses (which are shared pro-rata with the participating fund).

The Manager confirmed that cross-transactions are not expected and have not previously occurred.

Cash Tracking & Accounting

Internal to the firm, Kevin Park (Vice President, Finance and Operations) performs monthly bank account reconciliations. Kevin confirmed that he monitors the Fund's bank accounts daily in practice.

External to the firm, Meridian confirmed that it reconciles the bank accounts on a monthly basis. Alpine notes that prior to its independent call with the Administrator, Meridian indicated that it was engaged to perform formal cash reconciliations quarterly but that in practice, it would perform such reconciliations monthly. The Administrator confirmed that going forward, it would change the formal frequency of cash reconciliations to monthly.

Cash Controls

The Fund maintains an operating account with Pacific Tech Bank ("PTB"), which is used to receive capital calls / make distributions, fund investments, and settle third-party invoices. The Manager indicated that it additionally maintains a backup bank account with Continental Commercial Bank ("CCB") for the purpose of counterparty diversification.

All asset transfers from the PTB operating account are controlled by Aurora. In practice, PTB's online treasury platform is employed, in which the Administrator is responsible for preparing wires upon notification from Aurora. Alpine notes the Manager's representation that only Meridian is permitted to initiate wires from the operating account. Wires are subject to dual approval and release by Kevin Park (Vice President, Finance and Operations) and Rebecca Stern (General Partner). Alpine notes that no additional staff members are permitted to approve cash movements, therefore, where Kevin or Rebecca are "out of office", they are still expected to perform these responsibilities. Alpine would encourage Aurora to add additional individuals to the approvals process if Kevin or Rebecca are unavailable to move cash. The Administrator confirmed that it requires original invoices to validate cash movements.

The Manager confirmed that the CCB backup bank account is subject to the same controls as described above.

Alpine highlights that financial institutions implement detailed clauses with respect to contractual liability within their agreements. As such, it may be unlikely that a counterparty would be contractually obliged to repay a fund in the event of an erroneous cash transfer, and financial institutions may decline to be held to a binding contractual obligation to verify dual signature authorizations.

Asset transfers are subject to standard settlement instructions within the PTB banking system and the addition of new or changed payment instructions requires a verification callback. Alpine notes, however, that wires in excess of a materiality threshold are not subject to a verification callback process. The implementation of this additional control would serve to increase the robustness of the treasury cycle. However, the verification callback should not be directed to one of the authorized signatories who signed the instruction.

With respect to opening new bank accounts, the Manager indicated that Kevin Park (Vice President, Finance and Operations) completes the required paperwork, with Rebecca Stern (General Partner) or Daniel Brenner (Co-Founder / General Partner) responsible for signing the applicable signature cards and consents. While Alpine would prefer for two signatures to be required to open a new bank account, Alpine acknowledges that two individuals are involved in the account opening process in practice.

As a matter of practice, certain non-investment-related expenses are paid by the management company and thereafter reimbursed by the Fund. Alpine understands that the Administrator requires allocation schedules to validate expense reimbursements.

Alpine notes that the Administrator does not have signing authority over transfers relating to processing investor capital activity and paying non-investment-related expense payments. Alpine would prefer to see these transfers under Administrator rather than Manager control to reduce the risk of inappropriate cash movements.

Aurora provided bank account opening documentation for the Fund's PTB operating account, dated August 22, 2025, which evidenced that dual approval is contractually required to release cash movements from this account. Daniel Brenner (Co-Founder / General Partner) was the sole signatory on this documentation.

Chapter Summary

GREEN

Overall, the procedures adopted by Aurora provide adequate controls over the investment cycle, supporting a Green rating for *Investment Operations & Portfolio Controls*. Alpine notes the absence of a fully featured internal accounting system with a general ledger and would prefer for Aurora to receive legal closing documentation at the inception of a deal from an independent third party (i.e. the legal counsel drafting the deal), rather than from Aurora. Additionally, while Alpine notes that multiple individuals are involved in the account opening process in practice, only one signature is required to open bank accounts.

ALPINE

Chapter 7

Valuation, Asset Existence & Investor Reporting

GREEN

Chapter 7: Valuation, Asset Existence & Investor Reporting

Valuation Controls

Alpine's starting point for a discussion of the Fund's pricing procedures is to recognize that, as with most closed-ended venture capital structures, (i) the Fund is a finite life, capital commitment vehicle; and (ii) the GP receives carried interest only upon a realization event. Valuations are provided to investors on a quarterly basis for indicative purposes, with no contributions or redemptions of investor capital taking place based on those valuations. Given these characteristics, investors will have less sensitivity to valuation issues in the Fund than in an open-ended (i.e. hedge fund) vehicle allowing capital transactions based upon estimated net asset value.

Separately, the fact that a closed-ended structure pays the GP only on realized gains significantly reduces the incentive for the GP to manipulate intra-period pricing. As a venture capital manager will not receive any incentive fee based on "paper profits", this equally reduces the risk of deliberate portfolio mispricing as compared to an open-ended hedge fund.

The portfolio introduces high valuation risk given the portfolio is expected to be comprised entirely of Level 3 assets.

The Manager has a written valuation policy. Alpine notes that the valuation policy is undated: Alpine would prefer to see the policy dated to assess how frequently it is updated. In practice, the Manager indicated that the policy is reviewed periodically, and agreed to add a date to the valuation policy. Investors are encouraged to monitor developments in this area. The policy is fairly brief, though it does outline the various factors taken into consideration to estimate fair market value for private securities, as well as the role and responsibilities of the valuation committee.

The Manager has a valuation committee consisting of Rebecca Stern (General Partner), Kevin Park (Vice President, Finance and Operations), Austin Knight (Principal), and Elena Ruiz (Operating Partner), that convenes on a quarterly basis. While Alpine understands that it may not be feasible given the current size of the firm, Alpine would prefer to see the valuation committee represented by a majority of senior non-investment professionals to remove the appearance of conflicts of interest over the involvement of the front office in the pricing process. Aurora stated that the valuation committee assesses and approves each portfolio company valuation. The Manager indicated that valuation committee meetings are minuted, however, declined to provide minutes for Alpine's review for confidentiality reasons.

Aurora typically prices its portfolio companies to the most recent round of financing. For example, investments acquired in Series A of the fundraising cycle will be valued at cost until the next round of financing, i.e., Series B, when the valuation will be updated to reflect the Series B valuation. The Manager indicated that it considers a valuation to become stale if the last round of financing occurred more than 16 months prior to the valuation date. On a quarterly basis, Aurora will assess each investment to decide if an adjustment to the valuation is necessary. For these investments, Aurora will adjust the valuations using a revenue multiples analysis, a comparables analysis, or market indexing to derive the up-to-date fair value. Alpine notes that Kevin Park (Vice President, Finance and Operations) is responsible for creating the valuation models for these portfolio positions, with the investment team providing the inputs for Kevin's review and use. As such, Alpine is pleased with the back office's involvement in the quarterly valuation process.

Alpine notes that Aurora has not appointed an external valuation agent. As such, all valuations are prepared internally, subject only to external oversight from the Fund auditor. Alpine notes that the auditor is expected to collect financial information from both the underlying portfolio companies and Aurora to gain comfort in the Manager's valuations. Furthermore, the Manager confirmed that while there are always discussions surrounding valuations with the auditor, no formal pricing adjustments have been requested in practice in prior vintages. Alpine nonetheless strongly supports the appointment of an external valuation agent: such an appointment provides for superior segregation of duties in the valuation process, additional independence, and further control confidence over valuation consistency and computational accuracy.

From a regulatory standpoint, the appointment of a third-party appraisal agent is now considered an important element of an effective, compliant valuation procedure. Attention to "indicative" valuations relates to (i) the importance of track records of existing vintage funds when managers raise new funds; and (ii) the use of indicative PE valuations within the performance statistics reported by institutional investors. On balance, however, Alpine agrees that this control framework is not prevalent in the venture capital space.

Given the allocation to Level 3 assets, it is notable that the Administrator will not provide external oversight with respect to the valuation of the portfolio and will accept Aurora's pricing at each quarter-end without conducting any verification procedures.

Asset Existence & Verification

The Fund's assets are evidenced by private agreements that are not subject to traditional custody safekeeping. Aurora confirmed that all legal documentation of private transactions is kept with the relevant legal counsel, with soft copies maintained by the Manager and the Administrator.

From an existence perspective, several parties are expected to be involved in each transaction to ensure all investments are genuine. As such, any attempt to create a fictitious asset would require collusion among a number of Aurora professionals and external parties (e.g. legal counsel, bank, and the auditor). The Administrator confirmed that legal closing documentation is received from Aurora. As such, the Administrator does not perform closing documentation independently of the Manager for such investments and will not independently confirm the existence of the portfolio's assets as part of the affirmation process at the inception of each transaction. Alpine would prefer that the Administrator receive closing documentation from a third party (e.g. the legal counsel that drafts the deal's documentation).

As is common practice for privates, Meridian is not engaged to test for existence on a quarterly basis (in line with the quarterly investor reporting cycle). Alpine understands that Grant Baker as auditor will test the entire portfolio at year-end for existence by matching legal agreements to an independent confirmation of position by the underlying company.

The Fund maintains a subscription line with PTB for the purpose of bridging capital calls. As mentioned in *Fund — Investment Strategy*, the Manager confirmed that the subscription line was not utilized to fund the Fund's first investment, and that therefore, the balance is currently $0. The subscription line is collateralized by unfunded capital commitments, maintains an interest rate of the Wall Street Journal's Prime Rate (8.5% as of the date of this review) minus 0.7%, and may remain drawn for a maximum of 120 days. Additionally, the LPA states that the Fund is limited to a maximum indebtedness of 15% of total capital commitments: the Manager confirmed that this limitation on debt is present in the agreement with PTB as well.

The Manager confirmed that the investment team is responsible for monitoring debt covenants at the underlying portfolio company level. Without providing specific examples, the Manager indicated that portfolio companies have historically violated debt covenants in the normal course of investment, which is to be expected in venture capital investments.

Investor Reporting

The Administrator will be responsible for issuing the Fund's quarterly reporting packages, which will be released to investors within 45 days of quarter-end and 90 days of year-end. The Manager confirmed that it will approve capital statements prior to issuance to limited partners.

All partnership capital accounting records are expected to be maintained by the Administrator using its proprietary system, Polaris. Alpine notes that Meridian prepares carried interest waterfall calculations in Excel. Given the inherent complexity of the waterfall calculation and the potential for error associated with maintaining manual spreadsheets, Alpine would prefer to see a more powerful solution for this aspect of the NAV calculation. With respect to the waterfall calculations, the Manager confirmed that Meridian is responsible for performing calculations, while Kevin Park (Vice President, Finance and Operations) is responsible for approving the calculations.

Alpine notes that Aurora does not maintain in-house investor-level accounting records, relying on the Administrator for this aspect of the NAV calculation (as described above). Alpine has no particular concerns over Meridian's ability to account for such items but would prefer to see Aurora maintain parallel records in this area.

Financial Reporting Controls

The Fund's first financial reporting period will end on December 31, 2026 and, as a result, financial statements for the first period have not yet been issued. Alpine recommends that investors review the audited accounts when available to identify any presentational or footnote disclosure issues. Alpine understands that the accounts will be prepared under U.S. GAAP.

The Manager represented that the Administrator will receive audited financial statements directly from the auditor for onward distribution to investors.

Chapter Summary

GREEN

Internal controls over the pricing environment appear adequate: the Manager has implemented a satisfactory valuation framework which includes the involvement of a valuation committee and the back office to oversee internal valuations. Alpine also reiterates that the closed-ended structure of the investment vehicles alleviates the risk of deliberate mispricing. The combination of these factors supports a Green rating for *Valuation, Asset Existence & Investor Reporting*. Nonetheless, Alpine would suggest the appointment of a third-party valuation agent, as valuations are currently only subject to external oversight annually from the Fund's auditor. Furthermore, while Alpine understands that it may not be feasible given the current headcount of the firm, Alpine would prefer to see the valuation committee represented by a majority of senior non-investment professionals to remove the appearance of conflicts of interest over the involvement of the front office in the pricing process.

ALPINE

Chapter 8

Manager Transparency & LP Communications

GREEN

Chapter 8: Manager Transparency & LP Communications

Diligence Process Cooperation

The Manager was responsive and forthcoming throughout the due diligence process, providing requested documents promptly and making staff available for follow-up questions. Alpine would have appreciated reviewing valuation committee meeting minutes to assess the discussions of valuation committee meetings. Alpine notes this limitation in the due diligence process.

Administrator Cooperation

Meridian was cooperative and provided independent confirmation of key operational arrangements via conference call on April 9, 2026. Meridian independently verified service provider engagements, described its operational procedures in detail, and confirmed cash control and wire authorization processes without prompting from the Manager.

Disclosure Quality

The Manager proactively disclosed areas of operational limitation, including the current absence of a dedicated Chief Compliance Officer, the timeline for expected phishing testing and penetration testing enhancements, and the ongoing Mythic / LunarPay inquiry. Alpine considers this level of candor to be constructive and indicative of a willingness to address operational gaps.

Chapter Summary

GREEN

No material issues were noted with respect to transparency during the due diligence process, supporting a Green rating for *Manager Transparency & LP Communications*. Nonetheless, Alpine would have appreciated reviewing valuation committee meeting minutes to assess the discussions of those meetings, and notes this limitation in the due diligence process.

Reference Data

1. Manager, Ownership & Governance

Field	Value
Manager name	Aurora Capital Management, LLC
Date of commencement of operations	August 17, 2017
Manager legal structure	Limited Liability Company
Manager is publicly traded	No
Primary location	Los Angeles (remote)

Principals

Marcus Reeves, Co-Founder / General Partner

Source: Firm Marketing Materials | As of 2025-12-31

Marcus Reeves is an entrepreneur, technology investor, actor, and philanthropist. Marcus has been investing in technology for nearly two decades and has co-founded two VC firms, Horizon Ventures in 2012 and Aurora Ventures in 2017 alongside Daniel Brenner. With more than $1 billion under management across the combined platforms, Marcus and his partners have deployed capital into several leading early-stage venture funds. Aurora Ventures' and Horizon's early-stage investments include positions in public-market outcomes in fintech, consumer, commerce, AI infrastructure, and mobility.

Daniel Brenner, Co-Founder / General Partner

Source: Firm Marketing Materials | As of 2025-12-31

Daniel Brenner is an entrepreneur, technology investor, and talent manager. Daniel began his career in music in his teens as a talent scout and rose through the ranks of the entertainment industry to become chairman of a recognized music label. Over the last two decades, Daniel expanded his capabilities into investing and brand-building in the technology ecosystem, first through his personal investments and then through co-founding Horizon Ventures in 2012 and Aurora Ventures in 2017 alongside Marcus Reeves. Aurora Ventures' and Horizon's early-stage investments include positions in public-market outcomes in fintech, consumer, commerce, AI infrastructure, and mobility.

Rebecca Stern, General Partner

Source: Firm Marketing Materials | As of 2025-12-31

Rebecca Stern joined Aurora Ventures in 2018 and has brought a multidisciplinary approach to the firm. In her role, Rebecca leads investing, strategy, and the day-to-day management of the firm. Prior to Aurora, Rebecca led Global Strategy at Carson & Reid Companies, a financial services firm (NYSE: CRID), and earlier held senior leadership positions across media, tech, and financial services. Rebecca was SVP of Planning and Head of Investor Relations at AudioReach Media (NYSE: ARM) and Head of Business Development and Strategy at VerityOne. Earlier in her career, Rebecca was part of a global energy and power investment banking group as well as the Global Strategy team at NYSE Continental. Rebecca earned her BA from the University of Virginia and her MBA from Stanford Graduate School of Business.

Kevin Park, Vice President, Finance and Operations

Source: Firm Marketing Materials | As of 2025-12-31

Kevin Park joined the team in December 2023 and oversees finance, accounting, operations, and compliance for the firm. Prior to joining Aurora, Kevin spent five years as a Senior Manager at Meridian Fund Services, a VC/PE fund administrator, where he worked on several venture capital, private equity, and fund-of-funds clients. During his time at Meridian, Kevin advised on fund accounting, audit and financial reporting, fund structuring, compliance, and management company operations. He began his career at Horizon Accounting LLP in the financial services group.

Elena Ruiz, Operating Partner

Source: Firm Marketing Materials | As of 2025-12-31

Elena Ruiz joined the team in March 2025 to lead capital formation. Elena was most recently a Managing Director at Silver Oak Growth, a growth-stage private equity firm in the food and beverage sector. Prior to Silver Oak, Elena spent nearly a decade at Crownhold Financial, an industry-leading RIA with over $100 billion in assets under management. At Crownhold, Elena led the strategy division and managed the Central and Southeast regions with over $20 billion in AUM and $150 million in annual revenue.

Assets Under Management

Field	Value
AUM report date	December 31, 2025
Total AUM (NAV excluding uncommitted capital)	$981.54 million
Total AUM (Last Year)	$814.59 million
Investor Concentration Report Date	December 31, 2025
Capital held by largest investor	3.70%
Capital held by 5 largest investors	14.40%
Manager offers regulated product structures (40 Act, UCITS etc.)	No
Manager runs separately managed accounts ("SMA")	No

Ownership & Insider Investment

Field	Value
Internal investors	Daniel Brenner [40.00%], Marcus Reeves [40.00%], Rebecca Stern [20.00%]
Is there a controlling equity interest	No
Manager has a seed investor relationship	No
Insider investment (committed, firmwide)	$42.69 million (~5.3% of commitments)

Human Resources

Field	Value
Total headcount	9
Number of investment professionals	6
Number of back office professionals	3
Number of part-time staff / consultants	-
Manager uses 3rd party consultants	No
Employees are related / married	No

Environmental, Social and Governance

Field	Value
Environmental, Social & Governance Policy	Not formalized

2. Legal, Regulatory & Compliance

Regulatory Oversight

Field	Value
Securities and Exchange Commission	Exempt Reporting Adviser
Manager / affiliate / employee subject to regulatory sanction(s) in past ten years	No
Manager / affiliate / employee subject to non-routine correspondence from Regulatory Agency in past five years	No

Compliance Infrastructure and Policies

Field	Value
Compliance officer	Kevin Park
Compliance consultant	Apex Compliance Advisors
Manager has a compliance manual	Received (dated January 2026)
Compliance officer is outsourced	No
Manager has SOC 1 / external controls report	No
Personal trading pre-clearance (restricted list only)	Yes
Personal trading pre-clearance (all reportable securities)	No
Minimum holding period on personal trades	No
Brokerage statements received directly by compliance	No
Expert network usage	Yes (InsightSphere)
Written expert network policy	No
AML / KYC performed by Administrator	No (performed by Aurora with Brennan Kincaid LLP)

Claims, Actions, and Conflicts

Field	Value
Manager / affiliate / employee subject of civil or criminal litigation in past ten years	Yes — Mythic Studios / LunarPay / Daniel Brenner class action (filed December 2024; ongoing)
Principal(s) have external business interests	Yes (Marcus Reeves — actor/producer; Daniel Brenner — talent manager)
Principal(s) have external directorship positions	Yes (portfolio company boards)
Restricted list	Maintained; zero names at time of review
D&O / E&O insurance	$5 million combined coverage; no claims to date

3. Technology, Cybersecurity & Business Resilience

Information Technology

Field	Value
Technology consultant	Vantage Tech Partners, LLC
Cybersecurity consultant	Vantage Tech Partners, LLC
IT infrastructure model	Cloud-based (no onsite infrastructure)
Backup solution	BackupVault (Google Workspace and Dropbox real-time backup)

Cybersecurity Controls

Field	Value
Manager has a cybersecurity policy	Received (WISP dated November 28, 2025)
Incident response plan	Received (dated November 28, 2025)
Third-party cybersecurity framework	Not adopted
Frequency of cybersecurity training	Annually
Frequency of phishing testing	Not implemented (expected in coming months)
Endpoint data loss prevention	Not implemented
Network penetration testing	Not completed (cloud-based infrastructure)
Baseline network security (firewall, antivirus)	Implemented
Multi-factor authentication	Implemented (remote access)
Cybersecurity breach in past year	No

Disaster Recovery / Business Interruption

Field	Value
Manager has a business continuity plan	Received (BCP dated November 27, 2025)
Manager has enacted BCP in past year	No
Remote work capability	Yes (fully remote workforce)

4. Fund Structure, Terms & Investor Alignment

Corporate Structure

Field	Value
Domicile	Delaware
Date of incorporation	June 26, 2025
Date of commencement of operations	March 6, 2026
Asset Class	Private Capital
Type of structure	Standalone
General Partner	Aurora Ventures GP IV, LLC
Part of a segregated cell, umbrella or similar structure	No
Offering document date	August 31, 2025
LPAC	Yes (LPA provision; 2-5 LPs post-final-close)

Terms

Field	Value
Minimum Commitment	Negotiated at commitment
GP Commitment	At least $9 million (~3% of total commitments if target met)
First Closing	August 31, 2025
Current Fund Raise	$135 million
Target Fund Raise	$300 million
Expected Final Closing	End of 2026
No-fault Divorce	No
No-fault Dissolution	Yes (80% LP threshold, after final close)
Clawback	Per LPA
Side Letters	None (and not expected)

Fee Structure

Field	Value
Management Fee (Commitment)	2.00% per annum
Management Fee Step-down	0.25% annually from fifth anniversary of final close (floor 1.25%)
Carried Interest Waterfall	Modified European, tiered (see Chapter 4)
Preferred Return	None

Investment Strategy

Field	Value
Strategy	Venture Capital
Sub Strategy	Early-Stage (Seed to Series B) Technology
Regional Focus	North America (primarily U.S.); selective Israel
Target ownership stake	7-10%
Target portfolio size	20-25 companies
Follow-on reserves	~30% of total capital commitments
Single company limit	20% of commitments
Digital asset allowance	Up to 10% (not utilized)

Additional Expenses

Field	Value
Organizational expenses cap	$750,000
Placement Fees	Offset management fee
Cashless GP commitment offset	$4.5 million (1.5% of commitments if target met)
Deal counsel / broken deal expenses	Charged to Fund
Research / travel expenses	Not passed through to Fund in practice
Capital introductions (Keystone)	Passed through to Fund in practice

5. Service Providers, Delegation & Oversight

Administrator

Field	Value
Administrator	Meridian Fund Services, LLC
Administrator office	Thousand Oaks (CA)
Accounting platform (Administrator)	Polaris (proprietary)
Administration agreement date	August 31, 2025
Administrator liability cap	Prior 12 months of fees
Alternate administrator (Chain Fund only)	Aspen Fund Services
Quarterly reporting SLA	45 days post quarter-end (90 days post year-end)

Auditor

Field	Value
Auditor	Grant Baker LLP (engagement letter not yet signed at time of review)
Audit fieldwork location	Remote; audit team based in Los Angeles (CA)
Audit standard	U.S. GAAP
Prior auditor (superseded)	Merrick Patterson LLP (through 2024 year-end firmwide)
Management company tax services	Grant Baker

Counsel

Field	Value
Legal Counsel	Brennan Kincaid LLP

Other Providers

Field	Value
Corporate Banker (main)	Pacific Tech Bank
Corporate Banker (backup)	Continental Commercial Bank

Field	Value
Subscription line provider	Pacific Tech Bank
Compliance Consultant	Apex Compliance Advisors
Technology / Cybersecurity Consultant	Vantage Tech Partners, LLC
Expert Network Provider	InsightSphere
Capital Introduction	Keystone Capital Introductions

6. Investment Operations & Portfolio Controls

Portfolio Management

Field	Value
Portfolio / Deal Management System	RelayFlow
Financial metrics tracking	Excel (internal)
Internal accounting system / general ledger	No
Accounting system (Administrator-maintained)	LedgerCraft Enterprise

Investment Process

Field	Value
Investment Allocation Policy	Written (section in compliance manual, dated January 2026)
Investment Committee	Marcus Reeves, Daniel Brenner, Rebecca Stern
Investment approval	One of three voting members required (majority or unanimity not required)
Co-investments	Offered on overflow basis via SPVs; no management fee; carried interest + deal expenses apply

Cash & Accounting

Field	Value
Manager tracks individual cash transactions	Yes (Excel)
Manager tracks aggregate cash balances	Yes (Excel)
Internal bank reconciliation	Monthly (Kevin Park); daily monitoring in practice
Administrator bank reconciliation	Monthly (changed from quarterly)

Asset Transfers

Field	Value
Financial institutions	Pacific Tech Bank (main); Continental Commercial Bank (backup)

Field	Value
Wire authorization	Meridian initiates; dual approval and release by Kevin Park and Rebecca Stern
Verification callback	Yes (new / changed instructions only)
Verification callback (above threshold)	No
New bank account opening	Single signature required (two individuals involved in practice)

7. Valuation, Asset Existence & Investor Reporting

Valuation Controls

Field	Value
Valuation policy	Received (undated)
Valuation committee	Rebecca Stern, Kevin Park, Austin Knight, Elena Ruiz
Valuation committee frequency	Quarterly
Valuation committee minutes	Declined (confidentiality)
External valuation agent	No
Valuation methodology	Most recent round of financing; revenue multiples / comparables / market indexing for stale positions (>16 months)
Valuation approvers	Valuation committee (with input / modeling by Kevin Park)
Administrator role in valuation	Accepts Manager pricing; no independent verification

Investor Reporting

Field	Value
Quarterly reporting timeline	45 days
Annual audited financials timeline	90 days
Accounting standard	U.S. GAAP
Reporting authority	Manager approves capital statements prior to LP issuance

Waterfall & Investor Records

Field	Value
Waterfall calculation method	Excel (prepared by Meridian)
Waterfall approver	Kevin Park
Internal investor-level accounting records	No (maintained by Meridian in Polaris)

8. Manager Transparency & LP Communications

Field	Value
Manager cooperation during diligence	Full cooperation
Document provision	Prompt, no delays
Staff availability for follow-up	Yes
Evasion or scope restriction	None
Administrator cooperation	Full cooperation (independent confirmation provided via call, April 9, 2026)
Proactive disclosure of operational gaps	Yes (Mythic / LunarPay inquiry; CCO absence; phishing / pen-test roadmap)
Limitations on review	Valuation committee minutes declined